

Sales Return - Procedure (SOP)

Purpose: How to record a customer sales return (credit note) in the ERP, what the system posts to the accounts, and how to verify it afterwards.

Who does this: Accounts / Sales back-office.

Module: Sales > Sales Returns (screen title: "Sales Returns / Credit Notes").

1. Before you start (prerequisites)

- 1. The goods must have been DISPATCHED to the customer earlier - a sales return is always recorded against an existing Dispatch. If there is no dispatch, there is nothing to return.
- 2. For the COST reversal to post automatically, the product should have a Standard Cost set in the product master. If not, the sale value is still reversed but the cost-of-goods part is skipped (posts Rs. 0).
- 3. The customer must roll up to a Billing Customer (the accounting customer). If a ship-to customer has no billing customer set, the accounting entry is skipped - fix the customer record first.

2. Step-by-step: record a sales return

- 1. Go to Sales > Sales Returns.
- 2. Click New Return (top-right).
- 3. Select the original Dispatch the goods are coming back from. The screen loads that dispatch's products, the dispatched quantity, and the unit price from the original order.
- 4. Enter header details: Return Date (defaults to today); Reason (Damaged / Quality issue / Wrong item / Excess delivery / Customer cancelled / Other); Notes (optional).
- 5. For each product line, enter the Return Quantity (in dozens). You cannot return more than was dispatched. Decimals are allowed (e.g. 0.5). A per-line reason is optional.
- 6. Check the auto-calculated totals: Subtotal = Return Qty x Unit Price; COGS Total = Return Qty x Product Standard Cost.
- 7. Click Save & Post. The return is numbered automatically as SRN-YYYYMM-NNNN (e.g. SRN-202606-0007). If auto-posting is enabled, the accounting voucher is created immediately.

3. What the system posts to the accounts

A sales return creates ONE balanced Journal Voucher with up to two parts:

A) Sales / Receivable reversal (always):

Account	Debit	Credit
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Sales Returns (4010)	Return sales value	
Accounts Receivable - the customer		Return sales value

This reduces the customer's outstanding balance and reduces net sales.

B) Cost / Inventory reversal (only if a Standard Cost exists):

Account	Debit	Credit
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Finished Goods Inventory	Return cost value	

Cost of Goods Sold (5100) | | Return cost value

This puts the cost of the returned goods back into inventory value and reduces COGS. The voucher narration records the customer, the return reference, and the reason.

4. Important notes / limitations

- PHYSICAL STOCK IS NOT AUTOMATICALLY INCREASED. The return posts the accounting entries (value back into Finished Goods) but does not change the physical stock count. If you track physical quantities, record the stock receipt of the returned goods separately in the inventory module.
- No cost entry without a standard cost. If the product has no Standard Cost, only the sales/receivable side (Part A) posts; the cost side (Part B) is skipped.
- Accounting auto-post can be off. If automatic posting is turned off, the return is saved but not posted. In that case post it from the accounting side (Section 6).

5. How to verify the return afterwards

- Customer balance: Accounting > Party Ledger > select the customer. The return voucher appears and reduces their outstanding balance.
- Sales Returns account: Accounting > General Ledger > select Sales Returns (4010) to see the debit.
- Profit & Loss: the period's net revenue drops by the returned sales value (and COGS by the returned cost).
- The return is listed on Sales > Sales Returns with its SRN- number and status Posted.

6. Alternative: direct entry from the Accounting module

If there is no specific dispatch to tie to (e.g. a one-off adjustment), use the simpler ledger-only screen at Accounting > Sales Return:

- 1. Select the Customer.
- 2. Enter the Return Date.
- 3. Enter the Sales Amount (revenue to reverse).
- 4. Enter the COGS Amount (cost to reverse) - optional; leave 0 if not known.
- 5. Add a Reference and Notes.
- 6. Click Post Sales Return.

This posts the same entries as Section 3 but without dispatch/product-line detail. Prefer Sales > Sales Returns whenever a dispatch exists.

7. Quick reference

Item	Value
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Screen	Sales > Sales Returns
Document number	SRN-YYYYMM-NNNN (auto)
Quantity unit	Dozens (decimals allowed)
Sales reversal	Dr Sales Returns 4010 / Cr Accounts Receivable (customer)
Cost reversal	Dr Finished Goods / Cr COGS 5100 (only if standard cost)
Physical stock	Not updated automatically
Statuses	Draft > Posted > Cancelled